

GEICO's superior management and niche marketing, but its ability to reinvest shareholder money at optimal rates.

Further proof of GEICO's superiority: a \$1 investment in GEICO in 1980, excluding dividends, increased to \$27.89 by 1992. This is an astonishing 29.2 percent compounded annual rate of return, far greater than the industry average and the S&P 500 index, which both gained 8.9 percent during the same period.

Capital Cities/ABC

Cap Cities had its beginning in the news business. In 1954, Lowell Thomas, the famous journalist; his business manager, Frank Smith; and a group of associates bought Hudson Valley Broadcasting Company, which included an Albany, New York, television and AM radio station. At that time, Thomas Murphy was a product manager at Lever Brothers. Frank Smith, who was a golfing partner of Murphy's father, hired the younger Murphy to manage the company's television station. In 1957, Hudson Valley purchased a Raleigh-Durham television station, and the company's name was changed to Capital Cities Broadcasting, reflecting that both Albany and Raleigh were capitals of their respective states.

In 1960, Murphy hired Dan Burke to manage the Albany station. Burke was the brother of one of Murphy's Harvard classmates, Jim Burke, who later became chairman of Johnson & Johnson. Dan Burke, an Albany native, was left in charge of the television station while Murphy returned to New York, where he was named president of Capital Cities in 1964. Thus began one of the most successful corporate partnerships in American business. During the next three decades, Murphy and Burke ran Capital Cities, and together they made more than 30 broadcasting and publishing acquisitions, the most notable being the purchase of ABC in 1985.

Buffett first met Tom Murphy in the late 1960s at a New York luncheon arranged by one of Murphy's classmates. The story goes that Murphy was so impressed with Buffett that he invited him to join the board of Capital Cities.¹⁴ Buffett declined, but he and Murphy became close friends, keeping in touch over the years. Buffett first invested in Capital Cities in 1977; unexplainably, but profitably, he sold the position the following year.